

CRNC
CRNC N/A

Hold	\$10.77 ▲ 7.70%	12M Price Target \$12.50	52-Week Range \$5.85 – \$13.74	Market Cap \$487M
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CRNC: Voice AI Underdog Catching A Bid

WHAT'S CHANGED

- Stock popped 7.7% yesterday on huge volume (2M shares vs the usual ~600K) — that's a real move, not noise. Someone with size was buying.
- Options market is screaming bullish — traders bought 710 calls vs only 182 puts, with unusual activity in July \$12 calls. That's smart money betting on more upside in the next few weeks.

IMPLICATIONS

The big volume spike plus bullish options flow tells me institutions are nibbling here, likely on the back of that BYD partnership expansion (BYD is China's biggest EV maker, so Cerence's voice AI going into more of their cars is a real revenue lever). The broader tech rally (+3% yesterday) is providing tailwind, but CRNC moving more than 2x the sector suggests something stock-specific is brewing. For holders, this is the first real sign of life in months — but remember they missed Q2 earnings just last month, so this is more "sentiment shift" than "fundamentals fixed."

VALUATION

At \$487M market cap on roughly \$240M in expected revenue, you're paying about \$2 for every \$1 of sales — which is actually cheap for an AI-adjacent name (SoundHound trades at like \$15-20 per \$1 of revenue). The catch: Cerence is barely growing and still losing money, so the cheap multiple is deserved until they prove the business has turned. If they hit guidance and show even modest growth, a re-rating to \$14-15 is reasonable; if they whiff again, \$7-8 is in play.

KEY RISKS

- They've missed earnings repeatedly — Q2 2026 was another miss. Until management proves they can hit numbers, every quarter is a coin flip.
- Heavy dependence on auto industry — if car sales slow globally, Cerence's royalty revenue (they get paid per car shipped with their software) takes a direct hit.
- Competition from Big Tech — Google, Amazon, and Apple all want to be the voice in your car. Cerence is the incumbent but constantly defending turf.
- Convertible debt overhang — they have notes that could dilute shareholders if the stock runs, capping upside.

RECENT NEWS

- Why SoundHound's Pipeline Growth Matters for the SOUN Stock** Zacks · 2026-05-22 14:25
- Is SoundHound Stock Still a Strong AI Play After the Q1 Selloff?** Zacks · 2026-05-13 15:10
- Cerence (CRNC) Q2 Earnings Miss Estimates** Zacks · 2026-05-08 02:25

Langston's | Equity Research Coverage

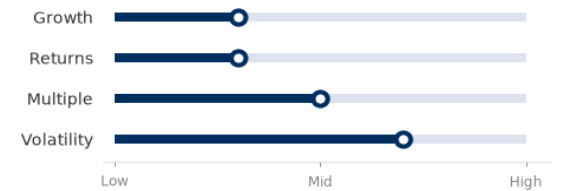
AI-Generated Pre-Market Brief | 2026-06-19 18:34 UTC

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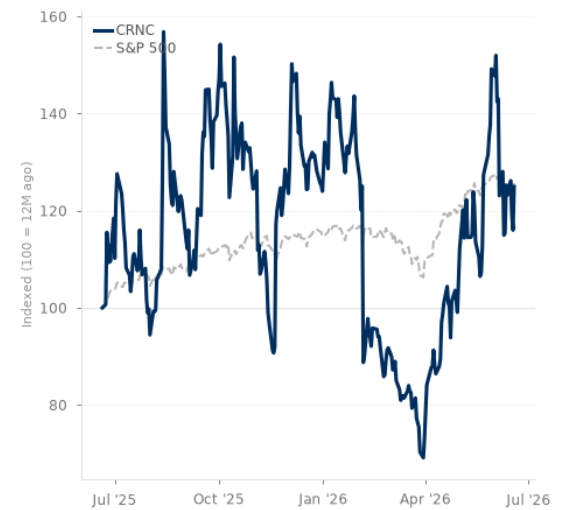
Key Data

Price (USD)	\$10.77
12M Price Target	\$12.50
Upside / (Downside)	+16.1%
Market Cap	\$487M
FY2026E Revenue	\$240M
FY2027E Revenue	\$255M
FY2026E EPS	(\$0.45)
FY2027E EPS	(\$0.15)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$12.50	\$11.00	\$9.00
6 Months	\$15.00	\$12.00	\$8.00
1 Year	\$18.00	\$12.50	\$7.00
2 Years	\$22.00	\$14.00	\$6.00
5 Years	\$30.00	\$16.00	\$5.00
10 Years	\$45.00	\$20.00	\$4.00

SECTOR INTELLIGENCE

HEATING UP: Technology (+3% in a day is big), Consumer Discretionary, Industrials — basically the "risk-on" trade is back.

COOLING OFF: Real Estate and Communication Services are lagging — rates and ad spend concerns.

ROTATION WATCH: Money is flowing back into tech and growth names after a rough stretch. CRNC riding this wave is partly why it's up — but small-caps like this only sustain rallies if the macro stays friendly.

RELATED PLAY: If voice AI in cars is real, look at SOUN (SoundHound) for the pure-play bet, or NVDA's automotive segment which powers a lot of in-car AI infrastructure.

OUTPERFORMERS & PEER CONTEXT

- SOUN (SoundHound AI): The market darling in voice AI — trades at a massive premium because they're growing 50%+ while Cerence is flat.
- NVDA (Nvidia): Automotive AI segment quietly growing 70%+ as every carmaker wants AI compute in their vehicles.

CRNC CONTEXT: CRNC is lagging badly versus SOUN over the past year — but that's exactly why it's interesting here. It's the cheap, hated cousin. If sentiment shifts even slightly, the upside is bigger because expectations are on the floor.

INVESTMENT STRATEGY

5/10 Conviction Score

CONVICTION: 5/10 — Interesting setup with bullish signals, but the earnings track record keeps me from going bigger.

POSITION SIZE: 1-2% of portfolio — this is a "speculative turnaround" sized position, not a core holding. Small enough that if it drops 40% you don't lose sleep.

ENTRY POINTS: I'd wait for a pullback to \$9-10 rather than chase this 7% pop. If you must buy now, scale in — third now, third on a dip, third after next earnings.

TIME HORIZON: 12-18 months. You're waiting for two clean earnings beats and another OEM customer announcement to validate the thesis.

WHEN TO BAIL: Another revenue miss greater than 10%, loss of a top-5 customer, or stock breaks below \$7 on volume. Also bail if BYD partnership talk goes quiet — that's the catalyst story.

HEDGING: Simplest hedge is just keeping the position small. If you want to get fancy, pair it with a short on a richly-valued auto supplier — you're betting CRNC's specific story plays out, not that the whole auto sector rips.